

Supervision of Investment Holdings

Traditional Concept of “Permanent Investment.” A generation ago “permanent investment” was one of the stock phrases of finance. It was applied to the typical purchase by a conservative investor and may be said to have embraced three constituent ideas: (1) intention to hold for an indefinite period; (2) interest solely in annual income, without reference to fluctuations in the value of principal; and (3) freedom from concern over future developments affecting the company. A sound investment was by definition one that could be bought, put away, and forgotten except on coupon or dividend dates.

This traditional view of high-grade investments was first seriously called into question by the unsatisfactory experiences of the 1920–1922 depression. Large losses were taken on securities that their owners had considered safe beyond the need of examination. The ensuing seven years, although generally prosperous, affected different groups of investment issues in such divergent ways that the old sense of complete security—with which the term “gilt-edged securities” was identified—suffered an ever-increasing impairment. Hence even before the market collapse of 1929, the danger ensuing from neglect of investments previously made, and the need for periodic scrutiny or supervision of all holdings, had been recognized as a new canon in Wall Street. This principle, directly opposed to the former practice, is frequently summed up in the dictum, “There are no permanent investments.”

Periodic Inspection of Holdings Necessary—but Troublesome. That the newer view is justified by the realities of fixed-value investment can scarcely be questioned. But it must be frankly recognized also that this same necessity for supervision of all security holdings implies a rather serious indictment of the whole concept of fixed-value investment. If risk of loss can be